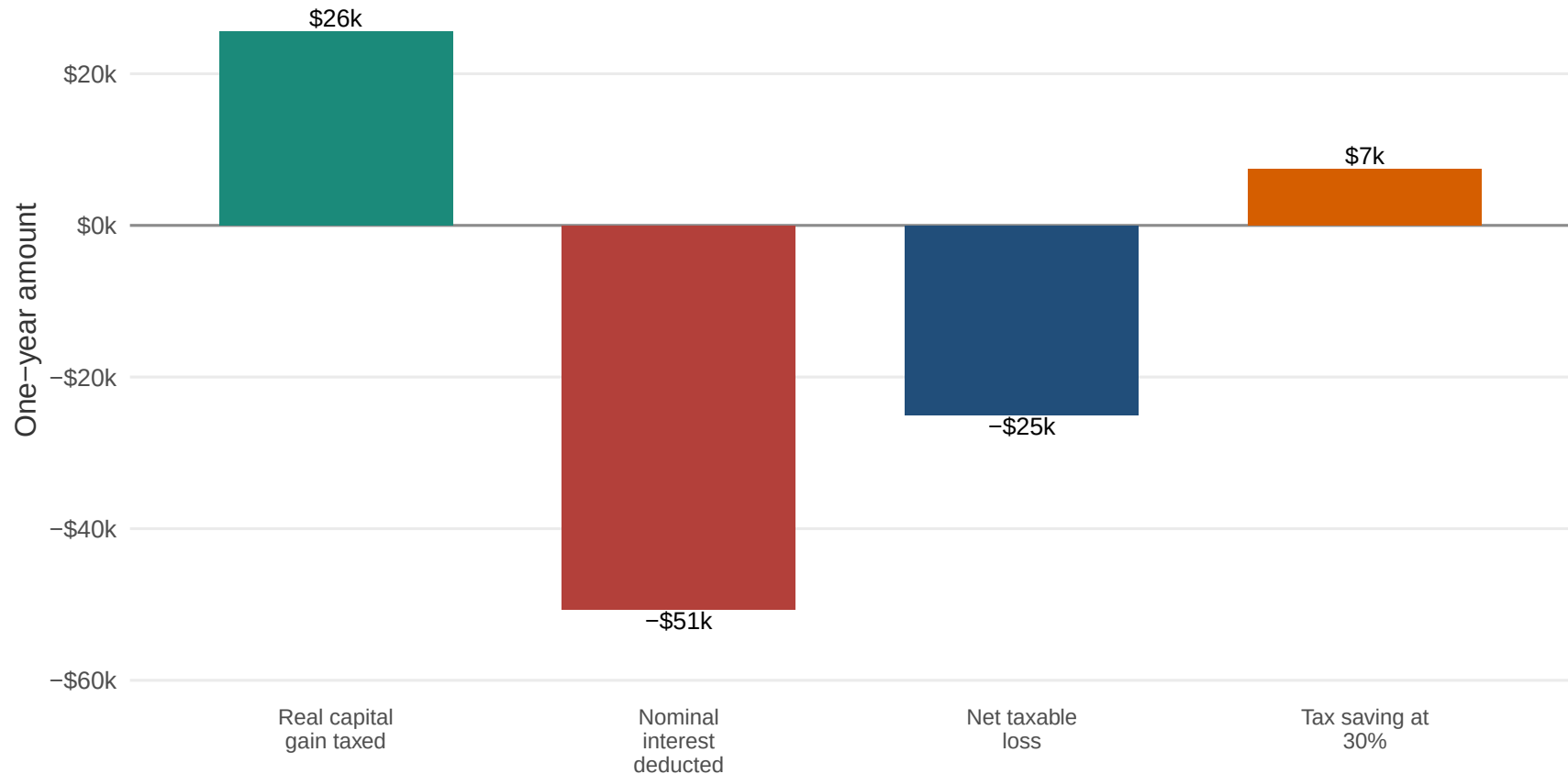


Nominal interest deductions can create a debt-financing bias

A break-even debt-funded asset can generate a tax loss when gains are indexed



Asset cost base and debt: \$1,000,000. Inflation: 2.5%. Real capital gain and real interest rate: 2.5%. The pre-tax economic profit is zero.